Orientation Week lecture:
Corporate characteristics, management and control

Dr Christian Engels

EC3318 Financial Economics: Corporate Finance
MN3101 Corporate Finance and Control

University of St Andrews Business School

11 September 2026



Content of today's Orientation Week lecture

Part 1: Module overview

- Module content
- Semester schedule
- Assessments
- Tutorials and labs
- References

Part 2: Corporate characteristics, management and control

- What is Corporate Finance?
- Forms of business organisation
- Real life company examples
- Corporations
- Financial management decisions
- Financial markets

Part 1. Module overview

Welcome to learning Corporate Finance in EC3318/MN3101!

General points:

- Shared teaching for EC3318 and MN3101; 20 credits in Semester 1, 2026/27.
- What this module is about: corporate financial decisions, governance, and value creation.
- Who we are: Dr Christian Engels (module coordinator) and Dr Mao Zhang.
- Use your module's Moodle page for announcements, recordings and the reading list.
- Teaching: 20 lecture hours, two one-hour computational labs and three one-hour tutorials.
- **Orientation:** Fri 11 Sep, 9–10am, School III (UC0). **Lectures:** Tuesdays 4–6pm, Physics Lecture Theatre A (PHY), from 15 Sep 2026.
- In Moodle's **Before You Start**, select **Open the steps**: sign-up, calculator tagging and GitHub Education.



Module learning outcomes

By the end of this module, students will be able to:

- Explain corporate finance and the role of the financial manager.
- Evaluate theories of corporate capital structure.
- Understand the importance of discounted cash flow valuation.
- Apply computational techniques to estimate securities' returns and risk.
- Assess investment appraisal criteria.

MN3101 module catalogue, 2026/27, linked from Moodle.

Module timing: Semester 1, 2026/27

Week	Week commencing	Topic	Session
Orientation	7 Sep	Corporate characteristics, management and control	
1	14 Sep	Discounting, compounding and investment appraisal	
2	21 Sep	Discount factors and cost of capital	Lab
3	28 Sep	Valuation models: stocks and bonds	
4	5 Oct	Capital structure: perfect/imperfect markets	Lab
5	12 Oct	Class test	13 Oct
6	19 Oct	Independent Learning Week	
7	26 Oct	Payout policy: perfect/imperfect markets	Tutorial
8	2 Nov	Equity funding and IPOs	
9	9 Nov	Mergers	Tutorial
10	16 Nov	Sustainable corporate finance	
11	23 Nov	Revision	Tutorial
12	30 Nov	University revision week: no new teaching	

Assessments overview

Assessment	Weight (%)	Date / deadline (2026)
Class Test	25	Tue 13 October, 4–5pm (Week 5); in person, replacing the lecture
Technical Assignment	25	Fri 13 November, 12 noon (Week 9); submit through MMS
Final Exam	50	December examination diet; in person, exact date to be confirmed centrally

Assessments details

Class test (25%)

- In person; replaces the scheduled lecture.
- **AI Level 1: no AI** at any point during the assessment.

Final exam (50%)

- In person; date set centrally.
- Check Moodle for the current assessment instructions.

Technical assignment (25%)

- **AI Level 5:** coding, empirical output, tables and figures. You must check and explain the work.
- **AI Level 3:** edit your own writing; AI must not create new written content.
- Complete the required AI declaration and cite AI-created content (tools/prompts where required). Coversheet on Moodle.

Calculator: University-approved and tagged for class tests/exams. Tagging at Gateway Reception: bring your calculator and student ID; no booking needed.

See **Assessments** and **Before you start** on Moodle for the full requirements.

Tutorial and Lab sign-up on MMS

Please note these important points:

- Opens **Mon 14 Sep, 12 noon**; closes **Mon 28 Sep, 12 noon** (2026, Weeks 1 and 3).
- You must sign up for both a *tutorial* and a *lab* (not one or the other).
- Attendance is required. Check your timetable across *all relevant weeks* before choosing to avoid clashes.
- Places are limited; if a group is full, please choose an alternative.
- If you do not sign up by the deadline, you will be **automatically assigned** to a group with space.

When sessions run

Labs: Weeks 2 and 4
Tutorials: Weeks 7, 9 and 11

Administration: use Moodle's guidance first; unresolved sign-up queries:

EC3318: econadmin@st-andrews.ac.uk
MN3101: manug@st-andrews.ac.uk

Main references

Textbooks:

Hillier, D., Ross, S., Westerfield, R., Jaffe, J. & Jordan, B. (2021) Corporate Finance. 4th ed. London: McGraw-Hill Education. ISBN-13: 9781526848086.

Brealey, R. A., Myers, S. C., Allen, F., & Edmans, A. (2022). Principles of Corporate Finance (14th ed.). McGraw-Hill Education. ISBN: 978-1265074159.

Prepare for the labs:

Create a GitHub account using your `@st-andrews.ac.uk` email and apply for GitHub Education **as soon as possible**. Bring a working login to the lab. Follow Moodle's **Before you start** steps.

Python resources:

Scheuch, Voigt, Weiss & Frey (2024), *Tidy Finance with Python*.

Software Carpentry: Programming with Python; Plotting and programming with Python.

Each week: consult your Moodle reading list and the required/further reading.

Questions remaining? Follow the module's help route

First review the materials we have supplied: slides, readings, recordings, Moodle guidance and announcements.

Still have a question? Office hours → email

1. Office hours

Use the booking details in Moodle's **Contacts**. Bring the point where you got stuck.

2. Email

Only if your query remains unresolved after office hours. Explain what you have checked and tried.

Absent or missing an assessment? Follow your module's self-certification / extenuating-circumstances procedure. No separate message to the teaching team is needed alongside the forms.

Part 2: Corporate characteristics, management and control

Topics covered

- The Concept of Corporate Finance
- Forms of Business Organisation
- Corporate Finance Decisions
- The Goal of Corporate Finance Decisions
- Financial Markets and the Corporation

Required reading

1. Hillier, D., Ross, S., Westerfield, R., Jaffe, J. and Jordan, B. (2021) Corporate Finance. 4th ed. Chapter 1.
2. Brealey, R. A., Myers, S. C., Allen, F., & Edmans, A. (2022). Principles of Corporate Finance (14th ed.). McGraw-Hill Education. ISBN: 978-1265074159. Chapter 1.
3. La Porta, R., Lopez-de-Silanes, F. and Shleifer, A. (1999) Corporate Ownership Around the World. Journal of Finance 54, 471-517. https://doi.org/10.1111/0022-1082.00115
4. Zingales, L. (2015) Presidential Address: Does Finance Benefit Society? Journal of Finance 70, 1327-1363. https://doi.org/10.1111/jofi.12295

What is Corporate Finance?

Investment

Which assets and projects should the firm invest in?

Financing

How should it fund those investments?

Working capital

How should it manage short-term assets and liabilities?

These choices determine the **magnitude, timing and risk** of cash flows.

Governance: who makes these decisions, and in whose interests?

These are the three financial decisions developed below; see the Chapter 1 readings.

Forms of Business Organisation: Sole Trader

- Owned and run by one person; straightforward to establish.
- Profits are subject to the owner's income tax, rather than corporation tax.
- **Unlimited liability:** the owner is personally responsible for business debts.
- Business assets can be sold, but there are no company shares to transfer.
- Can use personal funds and borrow; cannot raise equity by issuing shares.

UK context: GOV.UK, sole traders.

Forms of Business Organisation: Partnership

- An **ordinary partnership** is a business carried on by two or more partners.
- Partners share profits and responsibility for the business.
- Partners are taxed on their shares of profit; partners can be individuals or companies.
- Management, changes in membership and continuity depend on the agreement and the law.
- In Scotland, the partnership has separate legal personality; partners can still be personally liable for its debts.

GOV.UK, partnerships; HMRC, partnerships in Scotland.

Partnership Types

Ordinary partnership	Partners have unlimited personal liability.
Limited partnership	General partners manage and have unlimited liability; limited partners normally risk their contribution and do not manage.
Limited liability partnership (LLP)	A separate body corporate; members' liability is generally limited.

Partners and members can be individuals or companies.

US distinction: a limited liability company (LLC) is a distinct state-law form, with several possible tax classifications.

GOV.UK, LLPs; limited partnerships; IRS, LLCs.

Example: PricewaterhouseCoopers (UK) LLP

- UK LLP: a member firm in the PwC global network.
- **Global network, FY2025:** 136 countries; US$56.9bn revenue.
- **UK consolidated group, FY2025:** £6.35bn revenue; includes Middle East and Channel Islands businesses.
- **UK partners, FY2025:** average distributable profit of £865,000 per partner.



PwC Global Annual Review 2025; PwC UK 2025 financial results. Figures cover different entities.

Example: Soros Fund Management LLC (2011)

- In 2011, Soros Fund Management announced it would return outside capital and operate as a family office.
- The Dodd–Frank Act (2010) removed the former private-adviser exemption.
- The SEC's 2011 family-office rule excludes qualifying family-only, family-owned and controlled offices from investment-adviser registration.
- Changing the client boundary changed its regulatory position.



George Soros
Born in 1930
Chairman, Soros Fund Management

Soros investor letter, July 2011; SEC family-office rule, June 2011. Other legal obligations still apply.

Corporations

- Here we focus on **companies limited by shares**, owned by one or more shareholders.
- The company is a separate legal person, with its own assets and debts.
- Shareholders' liability is generally limited to any unpaid amount on their shares.
- Company profits are subject to corporation tax; distributions may also be taxed.
- **Private/public** describes legal status, not the number of shareholders. Private companies cannot offer their shares to the public.

UK context: GOV.UK, limited companies; Companies Act 2006, ss.3, 4 and 755.



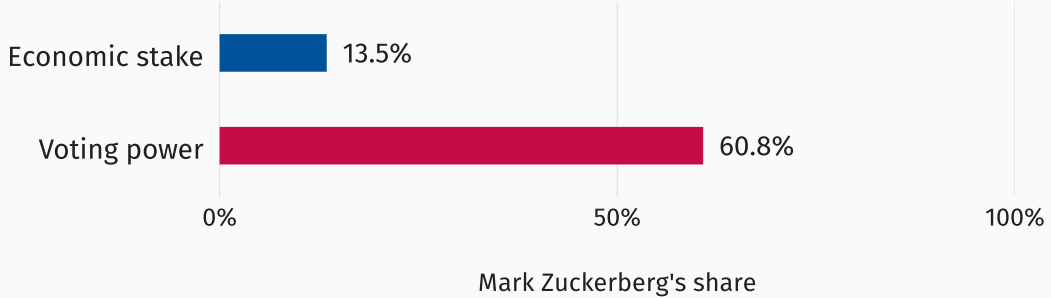
Public Corporations

- A public company can be **listed or unlisted**.
- Listed shares trade on stock exchanges, making ownership easier to transfer.
- The company can continue when shareholders change or die.
- Shareholders elect a board; managers take day-to-day decisions.
- Ownership may be dispersed or concentrated: a listed firm can still have a controlling shareholder.
- Listed companies face additional disclosure and market rules.

Ownership and control: La Porta, Lopez-de-Silanes and Shleifer (1999).

Ownership example: Meta

Mark Zuckerberg's economic interest and voting power



Class A shares carry one vote; Class B shares carry ten.

For reflection: Can someone control a company without owning most of its shares?

Meta 2026 proxy, pp.63–64, holdings at 1 April 2026. Economic interest calculated from share counts.
Dual-class governance: Gompers, Ishii and Metrick (2010).

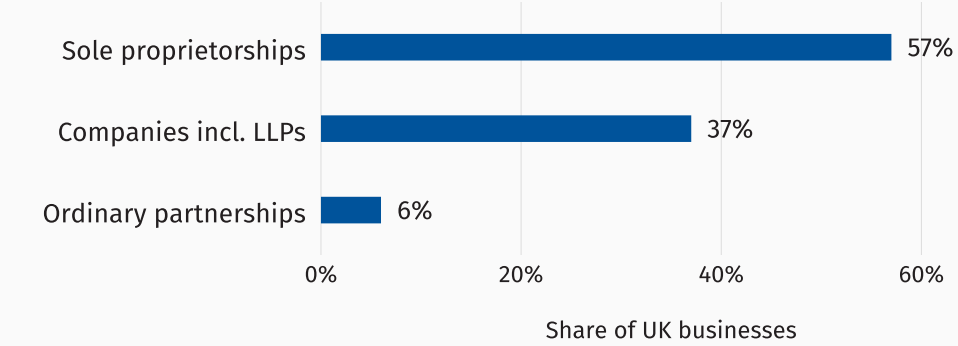
Summary: Business Organisations

Form	Personal liability	Who decides?	Funding access
Sole trader	Owner liable	Owner	Own funds; borrowing
Ordinary partnership	Partners liable	Partners	Partner capital; borrowing
Limited partnership	General: unlimited; limited: contribution at risk	General partners	Partner capital; borrowing
LLP	Generally limited	Members' agreement	Member capital; borrowing
Company limited by shares	Generally limited	Board; shareholder votes	Share capital; borrowing

Public/private legal status and listed/unlisted market status are separate.
Hansmann and Kraakman (2000); UK qualifications and official sources in the accompanying source notes.

Most UK businesses are sole proprietorships

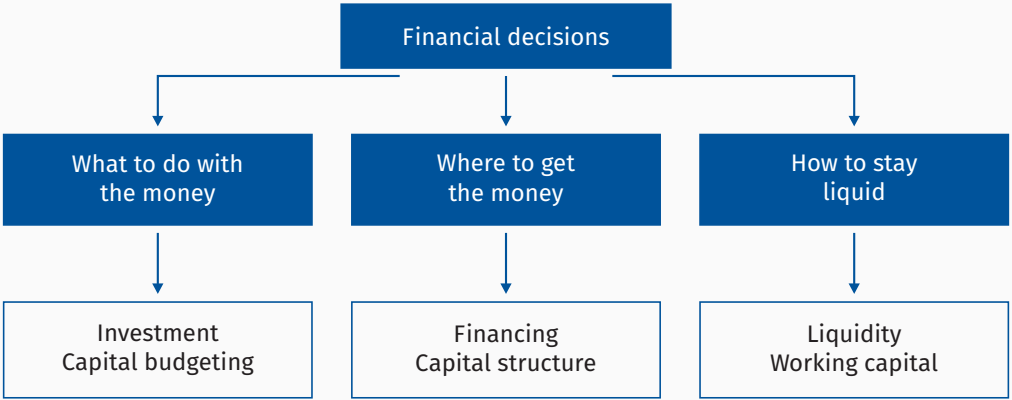
5.69 million private-sector businesses at the start of 2025



For reflection: Does the most common form necessarily account for the most output?

DBT, Business Population Estimates 2025, Figure 5. Shares of businesses by count, rounded.
Includes estimated unregistered businesses; DBT's companies category includes LLPs.

Financial Management Decisions



Which long-term projects should the firm undertake?

Plan and manage investments through cost–benefit analysis.

Evaluate the cash flows along three dimensions:

Magnitude

How much comes in and goes out?

Timing

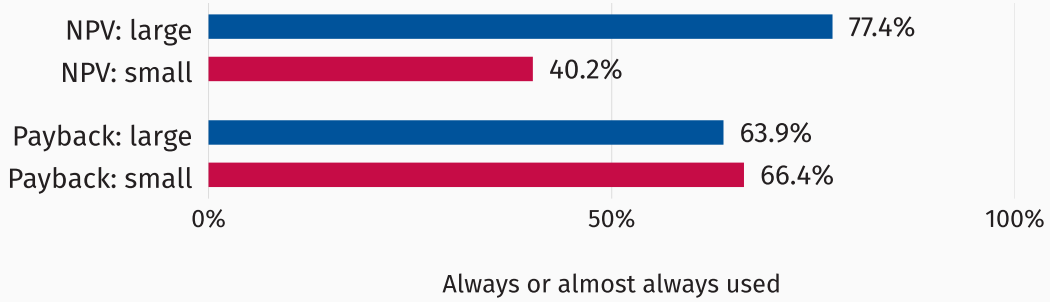
When do the cash flows occur?

Risk

Which outcomes are possible, and with what probabilities?

Firms use several methods to appraise investments

NPV: value today of project cash flows, less its cost.
Payback: time needed to recover the initial investment.



For reflection: Why might a firm use both methods?

Graham (2022), Table I, Panel A: March 2020 survey; always/almost always used.
Large/small firms: revenue above/below US$1bn; multiple methods may be used.

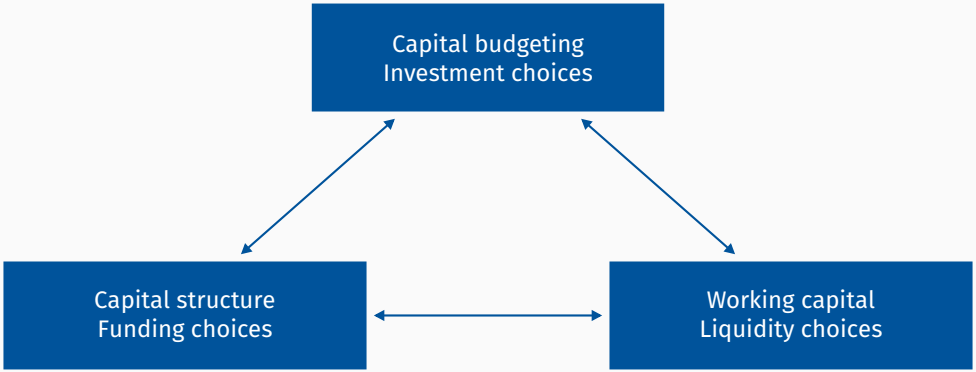
Capital Structure

- Mix of debt (contractual claims) and equity (residual ownership claims).
- Short- vs long-term debt.
- How much should the firm borrow? Balance funding costs with financial risk.
- Raising capital: where, how, and when?

Working Capital Management

- The management of short-term assets and liabilities
- How much cash and inventory should be on hand?
- Sell on credit? If so, on what terms and to whom?
- How can short-term financing be obtained?

The Interlocking Relationship



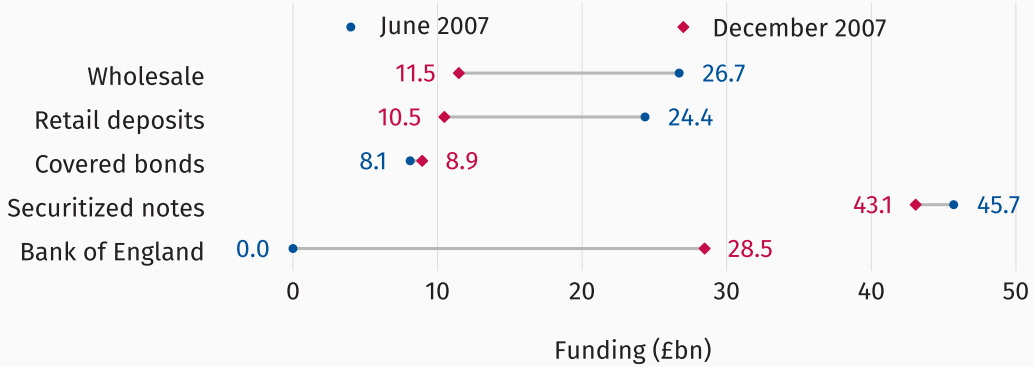
Case: Northern Rock

1997	Demutualised and became a listed bank.
Aug 2007	Wholesale-market disruption made refinancing difficult.
Sep 2007	Bank of England support became public; depositors queued to withdraw funds.
2008	Public ownership.
Jan 2012	Sale to Virgin Money completed.



Shin (2009); NAO (2012). The funding disruption preceded the visible depositor run.

Bank of England lending replaced lost funding



For reflection: What happens when long-term assets depend on funding that must be renewed?

Shin (2009), Figure 3, using Northern Rock's 2007 annual report. Main funding categories, £bn.
Wholesale is a separate category from covered bonds and securitized notes; these are funding stocks.

The Goal of Financial Management

Long-run firm value

A common objective makes competing decisions comparable.

Jensen includes the value of **all financial claims**, not just today's share price.

Shareholder welfare

Shareholders may also care about consequences that market value does not capture.

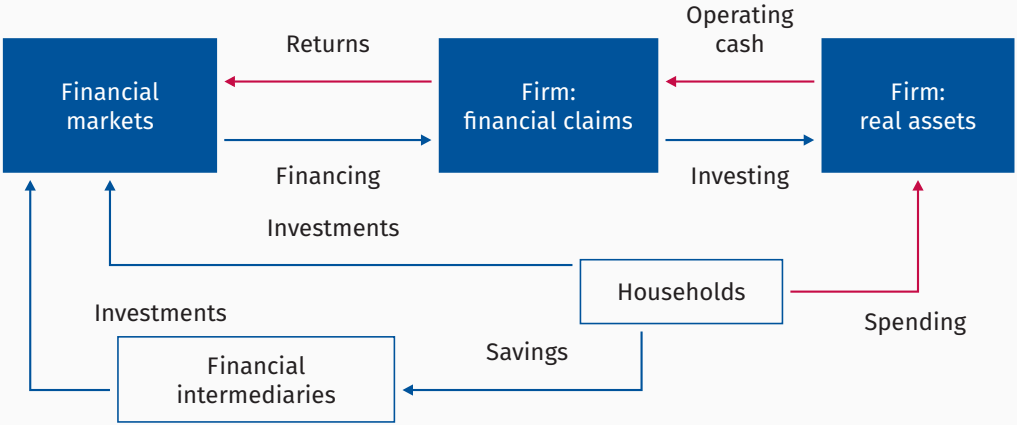
Hart and Zingales consider concerns such as **pollution**.

For reflection: Should a firm accept a lower financial return to reduce harm its shareholders care about?

Jensen (2001); Hart and Zingales (2017). These are arguments about objectives.

- Firms raise finance, invest it in real assets and return cash to investors.
- **Real assets:** productive resources that generate goods, services and operating cash flows.
- **Financial assets:** claims on cash flows and risks, such as shares and bonds.
- A share is an asset for its investor and an equity claim on the issuing firm; a bond is an investor's asset and the firm's debt.
- Markets help firms raise funds and investors trade claims, share risks and discover prices.

The Financial System



Financing includes debt and equity; equity is an ownership claim, not an accounting liability.

Financial Markets: Short vs Long

Money Market

- Short-term borrowing and lending, usually up to one year.
- Examples: Treasury bills, commercial paper and certificates of deposit.
- Short-term repos and interbank lending support liquidity management.

Capital Market

- Longer-term funding: debt with maturities above one year, and equity.
- Examples: long-term bonds and company shares.
- Equity has no contractual maturity; long-term bank loans also finance investment.

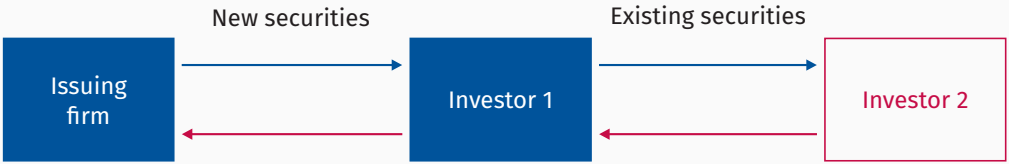
Maturity and the type of claim organise this distinction. Trading venues, ticket sizes and participants overlap. Foreign exchange is a market for currencies.



Primary vs Secondary Markets

Primary market: issuance

Secondary market: resale



IPO or seasoned offering
Firm raises new funds

Securities change hands
Firm receives no new funds

Thank You!

Thank you for listening.

Please come to office hours if you have other questions.

Booking details are in Moodle's **Contacts** section.

